



October 27, 2016

The Honorable Karyn Temple Claggett
Acting Register of Copyrights
United States Copyright Office
101 Independence Ave., S.E.
Washington, D.C. 20559

Re: **Section 1201 Study; Notice and Request for Additional Comments**
[Docket No. 2015-8]

Dear Ms. Claggett:

BSA | The Software Alliance (“BSA”)¹ is pleased to continue participating in the conversation regarding Section 1201 by responding to the Copyright Office’s Request for Additional Comments.² As the leading advocate for the global software industry in the United States and around the world, BSA is uniquely positioned to offer perspectives on Section 1201.

In BSA’s March 2016 letter responding to the original Request for Public Comment, we emphasized that the framework set forth in Section 1201 continues to accomplish the important goals, and maintain the balance, envisioned by Congress. That balance—between supporting innovative means of disseminating copyrighted material, on the one hand, and preventing unauthorized uses of copyrighted material, on the other—has largely been maintained. Thus, we reiterate here that we do not believe there is a factual basis or justification to warrant changing the fundamental structure of Section 1201.

In light of the pace of technological innovation, however, it is wise and appropriate to periodically review the effects and implications of Section 1201’s various provisions. To that end, Congress included within Section 1201 a triennial review process aimed at

¹ BSA’s members include: Adobe, ANSYS, Apple, Autodesk, Bentley Systems, CA Technologies, CNC/Mastercam, DataStax, Dell, IBM, Intuit, Microsoft, Minitab, Oracle, Salesforce, SAS Institute, Siemens PLM Software, Symantec, Tekla, The MathWorks, Trend Micro and Workday.

² U.S. Copyright Office, Library of Congress, *Section 1201 Study: Notice and Request for Additional Comments*, 81 Fed. Reg. 66296 (Sept. 27, 2016).

improving accessibility to and facilitating non-infringing uses of copyrighted works, while also protecting incentives for innovation. The Copyright Office has skillfully administered six rulemaking cycles and done a remarkable job of ensuring that Section 1201 continues to deliver on its promise.

To avoid unintended consequences that could undermine the existing balance of Section 1201, BSA encourages the Copyright Office to proceed cautiously as it considers proposing to Congress any revisions to the statute. This concern is especially important when considering recommendations for Congress to add new permanent exemptions to Section 1201. For example, commenters have argued for a statutory exemption permitting circumvention of technological protection measures (“TPM”s) for purposes of diagnosis, maintenance, or repair of machines or devices with embedded software. Caution is warranted because any such exemption has implications beyond a particular consumer and a particular class of works—such as the consumer who wishes to diagnose a failed oxygen sensor in his or her car. With self-driving cars on the horizon, it is not difficult to imagine how mere “diagnoses” or “repairs” that might seem appropriate could create software modifications resulting in safety hazards and unknown consequences to third parties.

During the 2015 rulemaking, the Copyright Office recommended an exemption for diagnosis, repair or lawful modification of computer programs that are contained in and control the functioning of a motorized land vehicle. Notably, the Copyright Office narrowed the proposed class to exclude computer programs primarily designed for the control of telematics systems. Such a limitation will prove more important in the years ahead because alteration of telematics software in self-driving cars could give rise to significant safety concerns. The Copyright Office’s recommendation illustrates the nuances that must be taken into account when considering exemptions to Section 1201, particularly those bearing on rapidly evolving technologies. In this regard, the triennial rulemaking offers significant advantages over statutory revisions, allowing flexibility to refine exemptions as technologies evolve.

Similar safety concerns apply across the board to other interdependent software systems that interact in complex ways. And, parallel concerns exist with respect to how “diagnoses” or “repairs” to works protected by copyright can easily (even if unintentionally) result in compromises to other protections, such as for privacy or security. Legal and technological limitations on circumvention exist to protect not only copyright owners, but also consumers of copyrighted works and the consumer products in which those works are embodied.

A measured approach is also critical with respect to existing security research exemptions. As a general matter, BSA supports good-faith security testing because such research, when it is coordinated with the vendor, is essential to maintaining the integrity and security of software. The security research language the Copyright Office recommended (and that

was subsequently adopted by the Librarian) in the 2015 rulemaking reflects the careful consideration that is necessary in evaluating potential changes to Section 1201(j).³ That language took account of the benefits of good-faith security research, while at the same time respecting the important safeguards Section 1201 provides. BSA urges the Copyright Office not to abandon the requirement of owner/operator authorization and/or notification without considering the practical effects of doing so. While it may be helpful to provide greater clarity in situations with multiple owners, the Office should move slowly, particularly with respect to the existing notification requirement that serves to protect not only copyright holders, but other stakeholders as well. Unsanctioned, unauthorized system access under the guise of “security research” can not only result in compromised systems, but also risks revealing to malefactors sensitive trade secrets, private consumer data, and other proprietary material. While legitimate security research certainly can serve to enhance everyone’s security, the existing statutory structure continues to safeguard the security and copyright interests of researchers and consumers, as those stakeholders are vulnerable to bad actors as well.

Given these competing interests and concerns, BSA encourages the Copyright Office to recommend small steps to address any perceived challenges in the operation of Section 1201. To a considerable extent, the Copyright Office can address outstanding issues that are important to different stakeholders by continuing to add agility and responsiveness to the triennial rulemaking process. The Office also should continue to consult with agencies with primary jurisdiction in other affected areas (such as transportation safety, security, and privacy) in order to further protect innovators and consumers from illegitimate uses of material protected by copyright, while providing access for legitimate uses.

We stress that the concerns of BSA’s members reach beyond copyright protection and encouraging innovation to include individual privacy, consumer safety, system interoperability, and data security. These issues, among others, are all implicated when the Copyright Office considers modifying or creating a new permanent exemption to the prohibition on circumvention.

As has been true since 1998, balance is critical for Section 1201 to simultaneously address the needs of the owners, innovators, and consumers impacted by copyright. BSA members are committed to ensuring that Section 1201 remains appropriately balanced for all impacted parties. To that end, we urge the Copyright Office to ensure that any modification of Section 1201 it proposes to Congress is incremental and reflects appropriate consideration of the multitude of effects on different stakeholders. As Congress recognized

³ U.S. Copyright Office, Library of Congress, Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies, 80 Fed. Reg. 65956 (Oct. 28, 2015).

in 1998, appropriate exceptions to the protections of Section 1201 are essential, but any changes must take care not to usher in new problems as old ones are addressed.

We appreciate the opportunity to share our members' perspectives on these important issues.

Sincerely,

A handwritten signature in black ink, appearing to read "Christian Troncoso". The signature is fluid and cursive, with the first name "Christian" written in a larger, more prominent script than the last name "Troncoso".

Christian Troncoso
Director, Policy